Tinna Rubber & Infrastructure Ltd

Concall-Tracker report · Screener ticker TINNARUBR (NSE: TINNARUBR, BSE: 530475) · Q2 FY27 call (26 Oct 2026) deep-read; Q1 FY24 to Q1 FY27 carried forward from the Q1-2027 report · prepared 7 Nov 2026

1. Snapshot

What the business does: Tinna buys worn-out truck and bus tyres, shreds them, and sells what comes out: crumb rubber and bitumen modifiers for road builders, reclaimed rubber and micronized rubber powder for tyre makers, steel wire, and now plastic compounds (PCMB) and tyre pyrolysis oil. It also earns credits from tyre makers under India's tyre-recycling rules (EPR).

Figure	Value	Plain read
Market value	**₹1,534 cr** (price ₹851)	What the whole company is worth on the market. Down from ₹997 at our last report; the year's range is ₹527 to ₹1,322.
Price-to-earnings	**23×**	The share costs about 23 years of last year's profit. Cheaper than the 29× of three months ago, because profit rose and the price fell.
Q2 FY27 revenue (Sep'26 qtr, consolidated)	**₹157 cr, up 31%**	Sales for the quarter versus ₹120 cr a year ago. This is the monsoon quarter, normally the slow one for road work.
Q2 FY27 operating margin	**18.8%** (vs 18.0%)	About 19 paise of operating profit per rupee of sales. Down from Q1's record 22%, but still above management's 18% floor.
Q2 FY27 net profit	**₹17 cr, up 45%**	Profit after tax. Growing faster than sales.
H1 FY27 (six months)	**₹313 cr revenue (+25%), ₹38 cr profit (+60%)**	First-half margin 20.4%. The company is halfway to its full-year sales target.
FY27 target	**~₹700 cr revenue, ₹126 cr EBITDA, ₹70 cr profit**	About 32% more sales than FY26's ₹530 cr. Needs about ₹387 cr in the second half, which is a step up from the first.
Debt	**₹111 cr** (from ₹121 cr in Mar'26)	Borrowing came down while capex continued. Interest is now covered about ten times by operating profit (up from 7.5×). CARE upgraded the credit rating to BBB.
Return on capital	**ROCE 23%**	Earns about ₹23 a year on each ₹100 tied up. Management's goal is above 30%.

2. Concall coverage

Quarter	Call date	Revenue / operating margin	Read?
Q1 FY24 to Q4 FY26 (12 calls)	Jul 2023 to May 2026	₹81 cr to ₹155 cr a quarter · 12% to 19%	Carried forward from Q1-2027 report
Q1 FY27 (Jun 2026)	22 Jul 2026	₹151 cr · 22%	Prior boundary call (carried forward)
Q2 FY27 (Sep 2026)	**26 Oct 2026**	**₹157 cr · 18.8%**	**Newly deep-read in full ★**

Only the newest call was read in full this quarter. The three-year backstory comes from the prior report. The transcript was filed with both exchanges three days after the call.

2b. Latest concall highlights · Q2 FY27 (call held 26 Oct 2026) ★

- **Sales up 31%, profit up 45%,** in the quarter that's usually hurt by monsoon. Tyre volumes crushed rose 30% in the half to 86,000 tonnes. Road-material (infrastructure) revenue grew 38% to ₹112 cr for the half, even with bitumen in short supply. Margin slipped from Q1's 22% to 18.8%, blamed on start-up costs abroad, war-related freight and a bonus provision.
- **Pyrolysis oil went commercial in Q2, on time,** at the Varale plant (100 tonnes a day). Carbon black recovered from tyres (rCB) still starts production in Q3 and sales in Q4. Management now expects both to earn about 18% margin, the same as the core business. But it could not give the Q2 pyrolysis-oil revenue on the call.
- **New 40-acre site bought in Andhra Pradesh** for about ₹250 cr over three years: tyre recycling, plastics, pyrolysis, rCB and PCMB in one complex, with ground-breaking planned for November. How it gets paid for (debt or new equity) will be decided in six to twelve months.
- **Two new snags:** the Haryana government may take the land under the old Panipat plant (small, fully depreciated; management says compensation beats book value and the plant could move in three or four months). And the Saudi plant is on hold because of the West Asia conflict, which means the promised 235,000 tonnes of India-plus-abroad capacity by FY27 won't happen. Management said so plainly.
- **Tone:** confident and specific. Revenue guidance held at about ₹700 cr. Vision 2029 (₹1,000 cr sales, margin above 18%, ROCE above 30%, ten locations) repeated without another shift.

2c. Business mix & capacity

Domestic vs export: exports are about **6% of revenue** in H1 FY27, with export volume up about 15%. Read: this is still almost entirely an Indian business. Oman ran at 90% utilisation with margin up to 11.5% from 6.4%; South Africa has started shipping semi-processed material; Saudi is on hold; a Chile company was set up to source old tyres.

Capacity use: Indian tyre-recycling plants run at **85% to 90%** of 185,000 tonnes (plus 15,000 tonnes in Oman). Read: the core plants are nearly full, which is why Andhra matters. Debottlenecking adds maybe 10,000 to 15,000 tonnes; the micronized rubber powder line goes to 20,000 tonnes in Q3; PCMB capacity is 18,000 tonnes after a 12,000-tonne addition at Gannaur.

2d. Since our last report ★ (builds on the Q1-2027 report, boundary call 22 Jul 2026)
Prior verdicts: **Trigger YES · Consistency MAYBE**.

Prior read	What we said then	What the new call shows	Movement
Trigger	Shift into higher-value products is lifting margin; FY27 growth rate unproven	H1 sales +25%, profit +60%, margin 20.4%; full-year target ~₹700 cr	**Confirmed**
Consistency	Delivers on margin, slips on scale	Same pattern: pyrolysis oil on time, PCMB on track, but the capacity target is now openly out of reach this year	**Unchanged**
Pyrolysis oil commercial in Q2	Trials only, no revenue	Commercial sales started in Q2; revenue figure not given	**On-track**
FY27 growth 20% to 25%	Q1 grew 20%; top end depends on new lines	H1 grew 25%; guide now about ₹700 cr	**Improving**
Capacity to 235,000 tonnes by FY27	On track	"I don't think we are getting to 235,000 without setting up a new plant." Saudi delayed	**Slipping**
Infra soft in Q1-Q2	Pre-warned weak patch	Infra revenue grew 38% in H1 anyway	

			Better than feared

Checkpoint results (prior report had no checkpoint box, so its promises-to-watch are scored): **Delivered | Delivered | Missed | Delivered** (pyrolysis oil in Q2 · growth on track · capacity target · infra held up). **Verdict change:** both unchanged. The trigger got stronger in the numbers; the consistency record added a fresh slip (capacity, Saudi, South Africa line late three to four months) alongside fresh deliveries, and one awkward reversal on why Q1's margin was so high.

3. Earning Trigger thesis ★

The driver hasn't changed: each tonne of scrap tyre is being turned into more valuable things. Crumb for roads and powder for tyre makers is the base. On top come plastic compounds (PCMB, about ₹70 cr this year and ₹125 cr next, says management), pyrolysis oil (selling since Q2) and recovered carbon black (from Q4), both now pitched at core-business margins. The core plants are close to full, so the next leg of volume needs the Andhra complex, which starts construction this month but won't count much before FY28. Meanwhile debt is falling and the rating was upgraded, which matters because the big capex is still ahead.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
Margin via richer mix	18%+ EBITDA margin, "50 to 100 bps up or down can happen"	H1 20.4%, Q2 18.8%. Q1's 22% now partly put down to cheap raw material and inventory	Live	Strong	unchanged: floor held, peak was flattered
Pyrolysis oil & rCB	Oil commercial Q2, stable Q3; rCB production Q3, sales Q4; ~18% margin	Oil selling; rCB not yet. Revenue split not disclosed	FY27-28	Moderate	↑ first product live on time
PCMB	8% to 10% of FY27 sales; ~₹70 cr FY27, ₹125 cr FY28	H1 ₹27 cr, more than tripled; capacity 18,000 t	Now	Strong	↑ new FY28 target
Capacity growth	235,000 t by FY27; Andhra ₹250 cr over 3 years	Still 185,000 t in India; Saudi on hold; Andhra land bought	FY28+	Moderate	↓ FY27 target dropped, longer plan clearer
Balance sheet	Debt down, rating up	Debt ₹121 cr to ₹111 cr; CARE BBB stable	Now	Strong	↑ new this quarter
EPR credits	About ₹25 to ₹30 cr a year	Q1 ₹6.7 cr, Q2 ₹4.6 cr, so H1 ₹11 cr: running below that pace	Ongoing	Moderate (policy)	↓ softer run rate
Overseas	Oman steady; Saudi and South Africa to add tonnes	Oman margin 11.5%; South Africa crumb line late 3-4 months; Saudi waiting on war	FY27-29	Unproven	↓ two delays

3b. Trigger check

Trigger type	Yes/ No	What was said (26 Oct 2026)

Debt cut	**Yes**	"Debt fell to INR111 crores from INR121 crores at the end of FY26." CARE upgraded to BBB stable.
New business	**Yes**	"The Tyre Pyrolysis Oil began commercial sales in Q2"; rCB sales to start Q4.
Margin up	**Yes**	H1 EBITDA margin 20.4%; Q2 18.8% against 18.0% a year ago.
New management	No	Same team as every call.
New capacity	**Yes**	MRP expansion to 20,000 t "on track for commissioning in Q3 of FY27"; 12,000 t PCMB added at Gannaur; Andhra ground-breaking November.
Big orders	No	No new orders mentioned.
Turnaround	No	
Promoter buying	No	Promoter stake flat at 67.21%.

Single concrete driver: pyrolysis oil and plastic compounds are adding new revenue on top of nearly full tyre-crushing plants, with recovered carbon black due next.

3c. Margin bridge

Q2 margin was 18.8% against 18.0% a year ago, helped by price increases that customers accepted as virgin rubber got dearer. It fell from Q1's 22% because of start-up losses in South Africa and Saudi, war-driven freight costs, new hires and a bonus provision; management now says Q1 was "a slight aberration" from cheap raw material and inventory. It guides 18%+ as the steady level (lasting).

4. Management Consistency scorecard

Period	What was promised	What actually happened	Verdict
FY24	Ten plants, ~₹900 cr revenue by FY27	FY27 now guided at ~₹700 cr	**Missed**
FY25-26	Vision 2028: ₹1,000 cr by FY28	Became Vision 2029 in May 2026; held there this quarter	**Slipped**
FY26	18% margin aim	17% FY26, 20.4% H1 FY27	**Delivered**
FY26-27	PCMB 8% to 10% of sales	H1 ₹27 cr, about 9% of sales	**Delivered**
Q1 FY27	Pyrolysis oil commercial in Q2	Started in Q2	**Delivered**
Q1 FY27	FY27 growth 20% to 25%	H1 +25%; target now about ₹700 cr	**Delivered so far**
Q1 FY27	Record margin "not inventory-driven"	Now called an aberration helped by raw material and inventory	**Partly**
FY26-27	Capacity 235,000 t by FY27	Admitted won't happen without a new plant; Saudi on hold	**Missed**
FY27	South Africa crumb line	Under commissioning, 3-4 months late (equipment stuck in Middle East)	**Partly**
Q1 FY27	rCB production Q3, sales Q4	Timeline repeated unchanged	Too early

Narrative drift: The story is the same one they've told for four years, and the people telling it are the same. What's good: they hit dates they control (pyrolysis oil, MRP line, PCMB) and they said the capacity target was off before anyone dug it out. What's not: the Q1 margin explanation flipped in one quarter, the pyrolysis-oil revenue wasn't shared when asked, and anything abroad keeps slipping. Some of that is the war, not them. The headline Vision 2029 number didn't move again, which is a small win after two slips.

5. Bottom line · two verdicts

Durable earning trigger? → YES vs last quarter: unchanged

Nothing knocked it, and two things firmed it up: pyrolysis oil started selling on time, and the first half grew 25% in sales and 60% in profit through the monsoon quarter. Margin settled at 18.8% after Q1's flattered 22%, still above the 18% floor management has met for over a year. Debt fell and the rating went up. The catch is that the core plants are nearly full and the big new volume (Andhra, Saudi) is a FY28 story at the earliest, so FY27's ₹700 cr leans on PCMB, pyrolysis oil and price increases. EPR income is also running below its usual pace.

Management consistent? → MAYBE vs last quarter: unchanged

The same split as before. Things inside the fence get done on schedule: pyrolysis oil in Q2, PCMB share, margin floor, debt down. Things about scale slip: the 235,000-tonne capacity goal for FY27 is now openly missed, Saudi is on hold, South Africa is late. To their credit they volunteered the capacity miss and the Panipat land issue. Against them, last quarter they said the record margin had nothing to do with inventory, and this quarter they said it partly did. It moves to YES if rCB starts on time in Q3 and H2 lands near the ₹700 cr target.

6. Checkpoints for next quarter ★

- Recovered carbon black production starts at Varale in Q3
- Micronized rubber powder expansion to 20,000 tonnes commissioned
- Ground broken at the Andhra Pradesh recycling complex

Prepared from the Q2 FY27 Tinna Rubber & Infrastructure Ltd earnings-call transcript (26 Oct 2026, filed 29 Oct 2026), with the Q1 FY24 to Q1 FY27 backstory carried forward from the Q1-2027 report; financials from Screener.in. All figures as disclosed by management or from Screener. **This is not investment advice. Do your own due diligence.**